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Illustration 4

Following is the extract of a trial balance as on 31st December, 2017. Prepare trading account.

Particulars	Dr. `	Cr. `
Closing stock	25,000	
Adjusted purchases	70,000	
Freight inwards	5,700	
Royalty on goods purchased	4,300	
Sales		1,70,000
Wages	8,000	
Octroi on purchase of goods	4,000	

Solution

Dr. Trading account for the year ended 31st December, 2017 Cr.

Particulars	`	`	Particulars	`	`
To Adjusted purchases		70,000	By Sales		1,70,000
To Freight inwards		5,700			
To Royalty on goods Purchased		4,300			
To Wages		8,000			
To Octroi on purchase of goods		4,000			
To Gross profit c/d		**78,000**			
		1,70,000			1,70,000

Note: Closing stock will not appear in trading account as it is adjusted with purchases, it will appear in balance sheet.

Illustration 5

From the following information, prepare trading account for the year ending 31st December, 2017.

Particulars	`	Particulars	`
Opening stock	50,000	Dock charges on purchases	4,000
Cost of goods manufactured	12,000	Import duty on purchases	3,500
Cash purchases	60,000	Wages	11,000
Cash sales	85,000	Sales returns	3,000
Purchases returns	2,000	Credit purchases	35,000
Carriage inwards	4,000	Credit sales	60,000
Freight outwards	3,000	Other direct expenses	7,000
Coal and fuel	2,500		